

	Account #	Description	Debit	Credit
	3010	Bambi's Retained Earnings (60%)		\$438
	3110	Kim's Retained Earnings (40%)		\$292

This approach allows each partner to see how much that (a) they've invested and (b) how much they've made over the life of the business.

Summary

Now, let us quickly define some of the accounting terms I used in this chapter:

- **Revenues**—Monies earned from selling a product or performing a service.
- **Expenses**—Monies spent for administrative overhead or direct costs of selling/delivering the product or service
- **Permanent accounts**—Accounts for assets, liabilities, and equity that are tracked for the life of the business.
- **Temporary Accounts**—Accounts for revenue and expenses that are used to track profits for a given period, then consolidated into a permanent equity account.
- **Closing**—The process of summarizing the revenue/expense accounts and moving the net profit to a permanent, balance sheet account.
- **Closing Entry**—the journal entry used to perform the closing operation.
- **Retained Earnings**—the cumulative sum of all of the profits earned over the lifetime of the business.